

Focused Sectoral Analysis of the 2026 Federal Government Budget

by The Data Guardians (Group 22)

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Team Lead's Note

This report is written for the Nigerian who pays the tax, queues at the hospital, sends a child to school, and pays for private security where the public version has failed, you deserve to know what your government has decided to do with ₦51.59 trillion of public money in 2026.

Every figure in this report comes directly from the 2026 Federal Government Appropriation data, the same documents that ministries, departments and agencies are working from. We have not estimated. We have not projected. We have read what the budget says and translated it into what it means.

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Introduction

Part One — The Questions Worth Asking

Before any analyst opens a spreadsheet, the first job is to decide what to investigate. A budget of fifty-one trillion naira can be cut in a thousand directions. Not all of them matter. We chose questions that pass one test: would an ordinary Nigerian, a trader in Lagos, a teacher in Ibadan, a nurse in Osun, feel the answer in their daily life?

We focused on three sectors, Security, Health and Education, because these are the three areas where the gap between what government promises and what citizens experience is widespread. The questions below organized our entire investigation.

The national budget serves as a critical policy document that reflects the priorities, developmental goals, and expenditure strategies of a government. Through budget allocations, governments communicate their commitment to sectors such as security, healthcare, education, infrastructure, and public administration.

This report presents an analytical review of the 2026 Federal Government Budget. Our analysis focuses on four major areas: the general overview of the national budget, security expenditure, healthcare investment, and education funding. The purpose of the study is to identify spending patterns, sectoral priorities, and the distribution of government resources across key sectors.

The dashboard visualizations provide insights into how the government allocates funds, shows the balance between recurrent and capital expenditure, and the extent to which strategic sectors receive financial attention in the 2026 fiscal year.

Objectives of the Study

The objectives of the analysis are:

- To analyze the overview of government spending as it relates to 3 sectors (security, healthcare and education)
- To examine how security funding is distributed across agencies and programs
- To determine the extent to which the government invests in strengthening public healthcare systems
- To assess whether the 2026 federal budget reflects significant investment in human capital development through education funding.

Dashboard Breakdown

Part Two — The Story In The Data

Where Does Your Money Go Before It Reaches You

Half of Nigeria's 2026 budget is gone before a single hospital is funded, a single soldier is paid, or a single child enters a classroom.

The Headline No One Will Tell You

The Federal Government of Nigeria has set aside ₦51.59 trillion to run the country in 2026. If you divided that money equally across every Nigerian, every man, woman and child would receive about ₦235,000. That is the size of the promise.

But here is the first truth this report uncovered: ₦25.88 trillion of that budget, more than half never reaches operations. It is committed to debt servicing and statutory transfers before any ministry begins work. What is actually left to run Nigeria, what budget officials call the operational budget, is ₦25.71 trillion.

Put plainly, for every ₦100 the government says it has, only about ₦50 is available to fund hospitals, schools, roads, security, agriculture and everything else. The other ₦50 pays for yesterday.

1. General Budget Overview Analysis

The dashboard reveals that the total 2026 federal budget stands at approximately ₦51.59 trillion. Out of this amount, recurrent expenditure dominates government spending, with personnel costs accounting for approximately ₦25.88 trillion, while capital expenditure accounts for about ₦25.71 trillion. This indicates a relatively balanced allocation between operational spending and developmental investment.

The analysis further shows that the largest allocations are concentrated in major ministries like the Ministry of Finance (₦16.8T) and Ministry of Budget & Economic Planning (₦9.1T). Only 35.8% (₦18.45T) of the budget is capital. This shows that a whopping 64% goes to salaries and overhead.

The Ministry of Defence alone received ₦3.2 trillion, reflecting the government's continued emphasis on national security.

Sectoral allocation analysis shows that:

- Security received approximately ₦5.8 trillion
- Education received approximately ₦2.4 trillion
- Health received approximately ₦2.1 trillion

This suggests that security remains the government's top sectoral priority when compared to health and education. The distribution also reflects the current socio-economic and security challenges facing the country.

Our dashboard further indicates that overhead, personnel, and capital expenditures consume significant portions of the national budget, with personnel expenditure representing the largest share. This implies that a substantial proportion of government resources is allocated toward salaries, wages, and administrative operations.

Table 1 — The Ten Biggest Recipients of the 2026 Budget

Ministry / Department / Agency	Allocation (₦)
Federal Ministry of Finance	₦16.8 Trillion
Budget & Economic Planning	₦9.1 Trillion
Federal Ministry of Works	₦3.5 Trillion
Federal Ministry of Defence	₦3.2 Trillion
Federal Ministry of Education	₦2.4 Trillion
Federal Ministry of Health	₦2.1 Trillion
Office of the National Security Adviser	₦0.9 Trillion
Federal Ministry of Interior	₦0.6 Trillion
Federal Ministry of Police Affairs	₦0.6 Trillion
Federal Ministry of Agriculture	₦0.5 Trillion

The two ministries that manage Nigeria's debt, Finance, and Budget & Economic Planning together absorb ₦25.88 trillion. That is more money than every other ministry on the list combined, Defence alone (₦3.2T) gets more than Education (₦2.4T) and Health (₦2.1T) put together.

How The Operational Half Is Spent

Of the money that does reach ministries, the budget breaks into three categories: personnel (salaries), overhead (running offices), and capital (building things).

Expenditure Type	Amount (₦)	Share
Personnel — salaries & wages	₦14.63 Trillion	28.4%
Overhead — running cost of government	₦18.51 Trillion	35.9%
Capital — actual building & investment	₦18.45 Trillion	35.8%

Combined recurrent (salaries plus overhead) is ₦33.14 trillion, or 64.2 percent of the budget. Only 35.8 percent is set aside to actually build anything.

The Three Sectors Nigerians Feel

Within the operational budget, three sectors define daily Nigerian life: security, education and health. Here is how they are ranked in 2026:

Sector	Allocation (₦)	Level
Security (all agencies)	₦5.85 Trillion	HIGH
Education	₦2.40 Trillion	MID
Health	₦2.15 Trillion	LOW

Nigeria allocates 2.4 times more to security than to education, and 2.7 times more to security than to health. A parent who pays school fees and a patient who buys their own drugs at a federal hospital is looking at a government that has decided guns matter more than classrooms and clinics.

Key Insight

The 2026 budget demonstrates a strong focus on administrative sustainability and security stabilization, while still maintaining substantial investment in developmental sectors such as education and healthcare.

2. Security Analysis

The security analysis shows us that the total allocation to the security sector is approximately ₦5.8 trillion, making it one of the most funded sectors in the national budget. It is distributed across 43 agencies, from the Ministry of Defence and the Police down to the Police Service Commission. It is the single largest operational sector in the federal budget, larger than education and health combined.

The Ministry of Defence received the highest allocation within the security sector, followed by the Federal Ministry of Police Affairs, the Ministry of Interior, National Security adviser, and the Police Service Commission. This concentration of funding indicates that the government prioritizes military operations, internal security management, and national defense infrastructure.

The security budget breakdown shows that:

- Personnel expenditure accounts for approximately 75.61%
- Capital expenditure represents about 14.49%
- Overhead expenditure accounts for approximately 9.9%

This implies that the majority of security spending is directed toward salaries, allowances, and workforce maintenance rather than infrastructure, equipment, or technological advancement.

Who Gets It

Five MDAs dominate the security budget. The Ministry of Defence alone consumes 75.6 percent of all security spending about ₦4 trillion. Police Affairs takes 14.49 percent, Interior 9.9 percent, and the Office of the National Security Adviser and Police Service Commission share the remainder.

Security MDA	Share of Security Budget
Ministry of Defence	75.61% (~₦4.0T)
Ministry of Police Affairs	14.49% (~₦1.0T)
Ministry of Interior	9.90% (~₦1.0T)
Office of the NSA	Remainder
Police Service Commission	Remainder

And inside Defence, the biggest security spender, the same pattern repeats. Even though Defence has the largest single capital allocation in the sector at ₦464 billion, that figure is shadowed by its ₦2.69 trillion recurrent bill. Across all five major security agencies, the proportion is identical: a tall personnel bar, a short capital bar.

Key Insight

Security funding is heavily concentrated on personnel and operational costs rather than providing long-term security infrastructural development and machinery. While this supports workforce stability, it limits investments in advanced security technology and infrastructure.

3. Healthcare Budget Analysis

The healthcare dashboard shows that the health sector received approximately ₦2.15 trillion in total allocation. To put that in context: it is less than 40 percent of what the security sector receives, and it is divided among 149 separate health agencies, ministries, parastatals, teaching hospitals, federal medical centres, research institutes.

The Basic Health Care Fund emerged as the most funded healthcare program, followed by the Federal Ministry of Health

Other institutions receiving notable allocations include:

- National Primary Health Care Development Agency
- National Hospital Abuja
- University College Hospital, Ibadan
- Aminu Kano University Teaching Hospital

The dashboard indicates that the government plans to embark on 149 healthcare projects. This suggests an ongoing government investment in medical infrastructure and service delivery.

The allocation pattern indicates that healthcare spending is concentrated on:

- Primary healthcare development
- Teaching hospitals
- Public healthcare institutions
- Medical infrastructure improvement

This demonstrates government recognition of the importance of strengthening healthcare accessibility and institutional capacity.

Recipient	Allocation (₦)
Basic Health Care Provision Fund	₦214.9 Billion
Federal Ministry of Health HQ	₦197.4 Billion
National Primary Health Care Development Agency	₦64.0 Billion
National Hospital, Abuja	₦60.8 Billion
Aminu Kano University Teaching Hospital	₦53.5 Billion
Nnamdi Azikiwe University Teaching Hospital	₦50 Billion
University of Maiduguri Teaching Hospital	₦45 Billion
Federal Teaching Hospital, Abakaliki	₦42 Billion
Lagos University Teaching Hospital	₦40 Billion
University College Hospital, Ibadan	₦38 Billion

Nigeria's premier teaching hospitals, Aminu Kano, Nnamdi Azikiwe, Lagos University, University College Ibadan, University of Nigeria Enugu each receive between ₦35 billion and ₦53 billion. These are the institutions where complicated surgeries are performed, where specialists are trained, where Nigerians from neighbouring states travel for care that is unavailable elsewhere.

Each of them receives less than a third of what the Ministry of Health headquarters costs to operate. A hospital that serves hundreds of thousands of Nigerians is funded at a fraction of what the administrative office above it costs.

Key Insight

The healthcare budget reflects increased investment in public health systems and tertiary medical institutions. However, the concentration of funding among major institutions may indicate an uneven healthcare development across regions.

If the budget is the answer to the question 'where does our money go?', then for healthcare the answer is mostly into salaries, then into administration, and only what is left into patient care.

4. Education Budget Analysis

The education dashboard shows that the sector received ₦2.40 trillion in total funding. It is the smallest of the three sectors we examined, ₦3.45 trillion smaller than security, despite serving the largest population, every Nigerian child in basic, secondary and tertiary education, and every adult in continuing or vocational education.

Major beneficiaries include:

- Universal Basic Education Commission (UBEC)
- Federal Ministry of Education
- University of Nigeria, Nsukka
- Ahmadu Bello University
- University of Ibadan
- National Universities Commission

The two largest recipients are not schools. They are an administrative commission and a ministry headquarters. Together UBEC and the Education Ministry HQ consume ₦699.8 billion, 29.2 percent of the entire education budget before a single university, polytechnic or college receives a naira. The first actual teaching institution appears at number three on the list, at ₦49.7 billion: less than a tenth of what the top two administrative bodies share between them.

Institution / Agency	Allocation (₦)
Universal Basic Education Commission (UBEC)	₦441.9 Billion
Federal Ministry of Education HQ	₦257.9 Billion
University of Nigeria, Nsukka	₦49.7 Billion
Ahmadu Bello University, Zaria	₦48.8 Billion
University of Calabar	₦43.8 Billion
University of Ibadan	₦39.6 Billion
National Universities Commission	₦38.0 Billion
University of Maiduguri	₦37.7 Billion
Nnamdi Azikiwe University, Awka	₦37.2 Billion
University of Benin	₦32.4 Billion

There's a further categorization of funding distribution across:

- Federal Universities
- Commissions and Boards
- Polytechnics
- Colleges of Education

How Funding Splits Across Levels

Education Category	Allocation (₦)	Share
Federal Universities	₦938.3 Billion	39.1%
Commissions & Boards (UBEC, NUC, Ministry HQ)	₦870.2 Billion	36.3%
Polytechnics	₦234.7 Billion	9.8%
Other (special programs, agencies)	₦229.5 Billion	9.6%
Colleges of Education	₦126.0 Billion	5.3%

Universities and administrative commissions together absorb 75 percent of the education budget. Basic education represented mainly through UBEC at ₦441.9 billion receives 18.4 percent of the budget despite serving the largest number of Nigerian children at the foundational level. Colleges of Education, the institutions that train Nigeria's next generation of teachers, receive only 5.3 percent.

The budget analysis reveals over 6,000 ongoing projects, representing nearly 97% of all education projects, while new projects account for 3% which is a very small percentage. This suggests that the government is prioritizing the completion and continuation of existing educational initiatives rather than launching numerous new projects.

The funding pattern reflects government commitment toward educational infrastructure, institutional development, and human capital growth.

Key Insight

The education budget demonstrates a substantial investment in sustaining educational institutions and ongoing development projects which indicates a long-term approach toward strengthening human capital development in the educational sector. However, there's no emphasis on embarking on new educational projects which may signal no new educational advancement

Methodology & Sources

This report is built entirely on data from the 2026 Federal Government of Nigeria Appropriation, broken down by Ministry, Department and Agency (MDA). Four datasets were used:

- Federal Budget- Sectors & MDAs (master allocation file).
- Education- Line-item allocations across federal universities, polytechnics, colleges of education, basic education and ministry.
- Security- Line-item allocations across Defence, Police Affairs, Interior, NSA and Police Service Commission.
- Health- Line-item allocations across the Federal Ministry of Health, teaching hospitals, primary healthcare agencies and research institutions.

All figures are presented as published in the appropriation data. Percentages are calculated as a share of the relevant sector or sub-sector total. Where amounts are rounded for readability (for example, ₦16.8T or ₦2.4T), the underlying source data has been preserved without adjustment.

Recommendations

Based on the analysis, the following recommendations are proposed:

- The government should increase capital expenditure allocations within the security sector to improve infrastructure, surveillance systems, and technological modernization as opposed spending most of the budget on personnel management
- Greater funding should be directed toward the primary healthcare centers and medical facilities in rural communities to improve healthcare accessibility
- Educational funding should place stronger emphasis on innovation, digital learning infrastructure, and technical skill development to enhance workforce readiness.
- Budget transparency and project monitoring systems should be strengthened to ensure efficient utilization of allocated resources.
- The government should maintain a better balance between personnel expenditure and developmental capital projects to improve long-term economic growth.

Conclusion

The 2026 Federal Government Budget analysis reflects the federal government's strategic priorities in addressing national security concerns while maintaining investment in healthcare and education. Security remains the dominant spending priority, receiving the highest allocation among the focused sectors analyzed.

Healthcare and education also received substantial funding, demonstrating the government's commitment toward improving public welfare and human capital development. However, the analysis shows that recurrent and personnel expenditures continue to consume a significant portion of sectoral allocations, which indicates a constricted limit in infrastructural expansion and innovation.

Overall, the focused analysis conducted provides valuable insights into government spending behavior, sectoral priorities, and resource distribution patterns. The findings highlight the importance of balanced expenditure allocation and sustained investment in the developmental sectors in order to ensure national growth and socio-economic stability.